

Vivo Telecom: Confidential information for Vivo

You are a manager at Vivo Telecom. Currently, you are in São Paulo awaiting the lead negotiator from Active Decision Systems (ADS). The negotiation involves a technology licensing agreement for a billing system that ADS makes and installs. There has already been a round of negotiation between the two companies, resulting in a letter of intent. Top ADS management was unhappy with the stated terms. They relieved the lead negotiator and have brought you in to take over what could be an important deal. The rest of this document is to get you up to speed.

Vivo Telecom is a top ten telecom company in Brazil, with annual revenues of about US\$1 billion. Vivo's present billing system is antiquated. The company sees getting a modern billing system up and running quickly as a key component in its ambitious expansion plans.

ADS is a U.S. company with revenues of about US\$250 million per year. In recent years, telecommunication billing systems have been one of ADS's hottest products. ADS is one of eight companies installing billing systems worldwide. Recent accounts in the financial press indicate that ADS is keen to establish a foothold in the South American region.

The letter of intent signed between ADS and Vivo essentially states where things stood at the end of the first round of negotiation. The two sides had agreed that the technology licensing price should be "around US\$32 million". The price reflected development, installation, and service fees. Installation was to be complete within 9 months of signing the contract.

A letter of intent is an acknowledgment that two companies are serious about doing business with one another. It is not a contract and has no legal force. Top Vivo management feels that the letter of intent price tag is too high, given the competitive nature of the billing system market. Vivo estimates the value of the installed software at US\$35 million. Given the price tag in the letter of intent, this implies a profit that is low given the time and energy that goes into the undertaking. While a positive profit is sufficient to go ahead with this project, management would like you to do better if possible.

One thing has changed since the first round. The market for billing and revenue-management systems has consolidated sharply, leaving only a handful of large vendors and raising the stakes on this decision. Industry advisors now warn that once a carrier migrates its billing, rating, and customer platforms onto a single vendor, the cost of switching later runs into the hundreds of millions of dollars and multi-year timelines. In practice this means that whoever wins this install captures not just today's fee but years of follow-on business and pricing power. Vivo management wants you to keep that lock-in firmly in mind: the terms you secure now on independence, protection, and delivery will shape Vivo's position for the next decade.

In addition to the price tag, Vivo management would like you to raise some additional issues with ADS before signing any contract:

1. **Source code access.** The source code is the original programming developed by ADS. With access to it, the buyer can see and modify the “recipe” for the application, making Vivo less dependent on ADS and providing protection against future price gouging — it is not unknown for a service provider to “discover” problems not covered in the service contract and then make exorbitant demands for extra payment. There are two ways to address this, and they are worth a great deal to Vivo:
 - **Source-code escrow.** ADS deposits the code with a neutral third party, who releases it to Vivo only if a defined trigger occurs — ADS going bankrupt, abandoning support, or failing to meet its service commitments. This gives Vivo most of the protection it wants (a credible ability to take over the software if ADS fails it) without ADS handing over the code outright. Vivo estimates escrow is worth about US\$6 million in benefit to the deal.
 - **Full source-code access.** ADS turns over the code directly so Vivo can service and modify the system itself at will. This is the strongest form of independence. Vivo estimates full access is worth about US\$9 million in benefit to the deal. One reason ADS may resist is that they may not trust Vivo to keep the code confidential — which is exactly the gap escrow is designed to bridge.
2. **Software ownership.** This is perhaps the issue with the greatest potential value to Vivo, and one that management realizes will probably require an additional payment to ADS. Ownership would give Vivo the intellectual property rights to the software, meaning its competitors could not emulate it by purchasing it from ADS (ADS could still sell them a system, but it would have to be developed from scratch). In a consolidated market, owning the IP is also Vivo’s strongest hedge against vendor lock-in. Vivo having ownership would add an estimated US\$12 million to the value of the deal.
3. **Covering lost revenue (delivery SLA).** Every new installation has its own challenges, particularly when working for the first time in a new country, and Vivo estimates there is a good chance the installation will run past 9 months, causing lost revenue. Rather than a flat penalty, Vivo wants a service-level agreement: if ADS misses the 9-month deadline, it pays Vivo service credits scaled to the delay, calibrated to Vivo’s actual lost revenue and capped so the remedy stays tied to real damages (a credit that looks punitive rather than compensatory may not hold up). Vivo’s exposure to late delivery is about US\$3 million, so a workable SLA that shifts this risk to ADS is worth roughly that much in avoided cost. Getting ADS to agree to such a guarantee would avoid this cost.

Hopefully, you will be able to sort these issues out in your meeting. An Excel profit worksheet accompanies this case. You can use it to evaluate proposals. On your worksheet, treat source-code escrow as the US\$6 million source-code entry and full access as the US\$9 million entry; enter the ownership and delivery-SLA values exactly as before.